



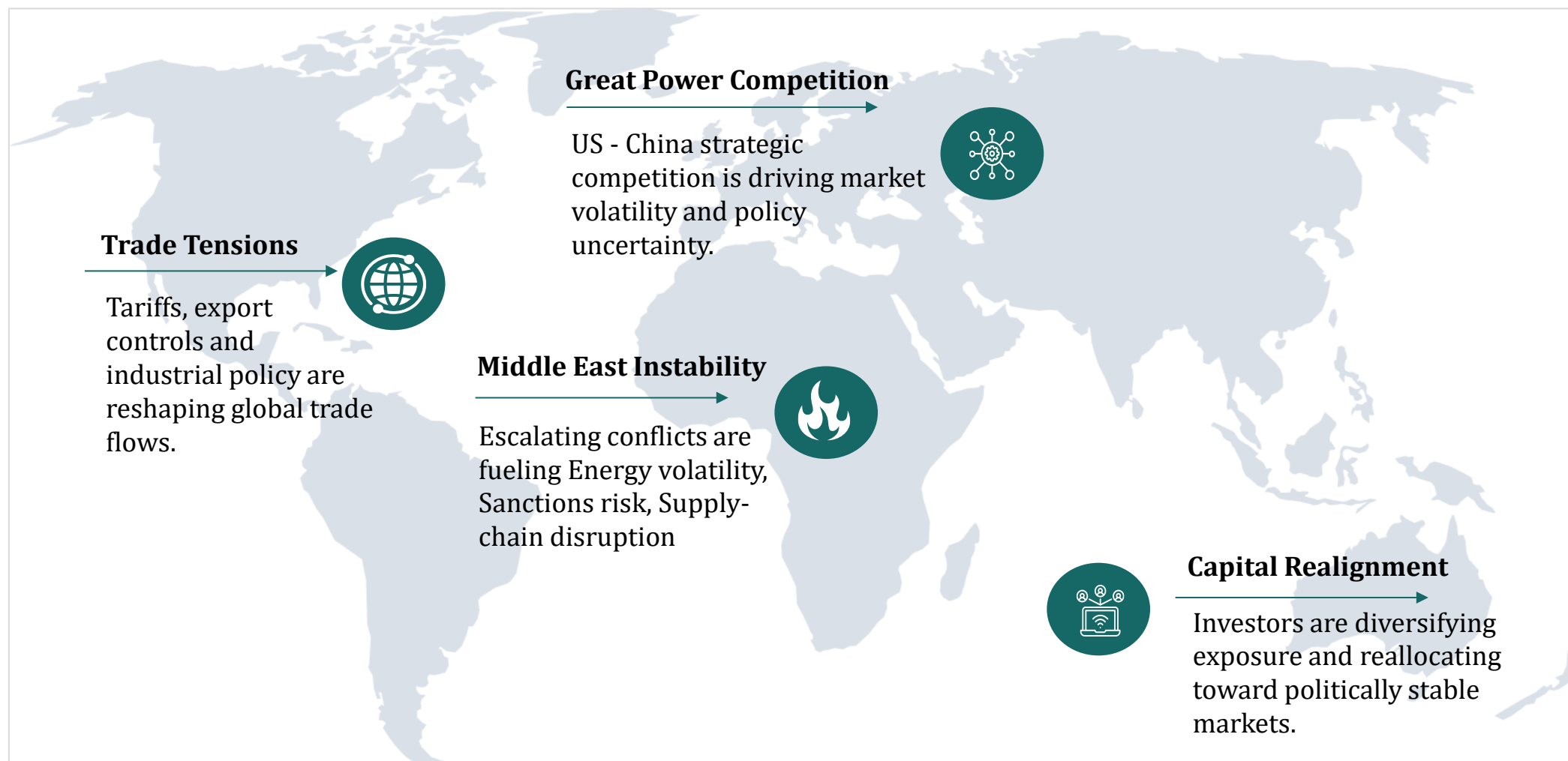
# Geopolitical Finance YD Deal Desk

Monthly Transaction & Finance Intelligence by YD Advisory

How geopolitics, AI, regulation, and capital flows are  
reshaping the future of global financial markets.  
MAY 2026 | EDITION 01

# Geopolitical Risk Is Now a Core Driver of Financial Markets

From trade fragmentation to regional conflicts, geopolitics is reshaping capital flows, regulation and investment strategies across the globe.



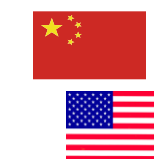
## Key Data Points

**89%**

of firms report operational impact from tariffs and trade barriers

**37%**

experienced significant business impact from trade tensions

**42%**

identify US-China competition as the biggest geopolitical factor affecting markets

**45%**

say geopolitics is directly impacting cross-border capital flows and market access

## How Financial Institutions Are Responding



Reassessing geographic exposure



Diversifying regional hubs



Strengthening sanctions compliance



Reallocating capital to stable regions



Building resilience against trade fragmentation

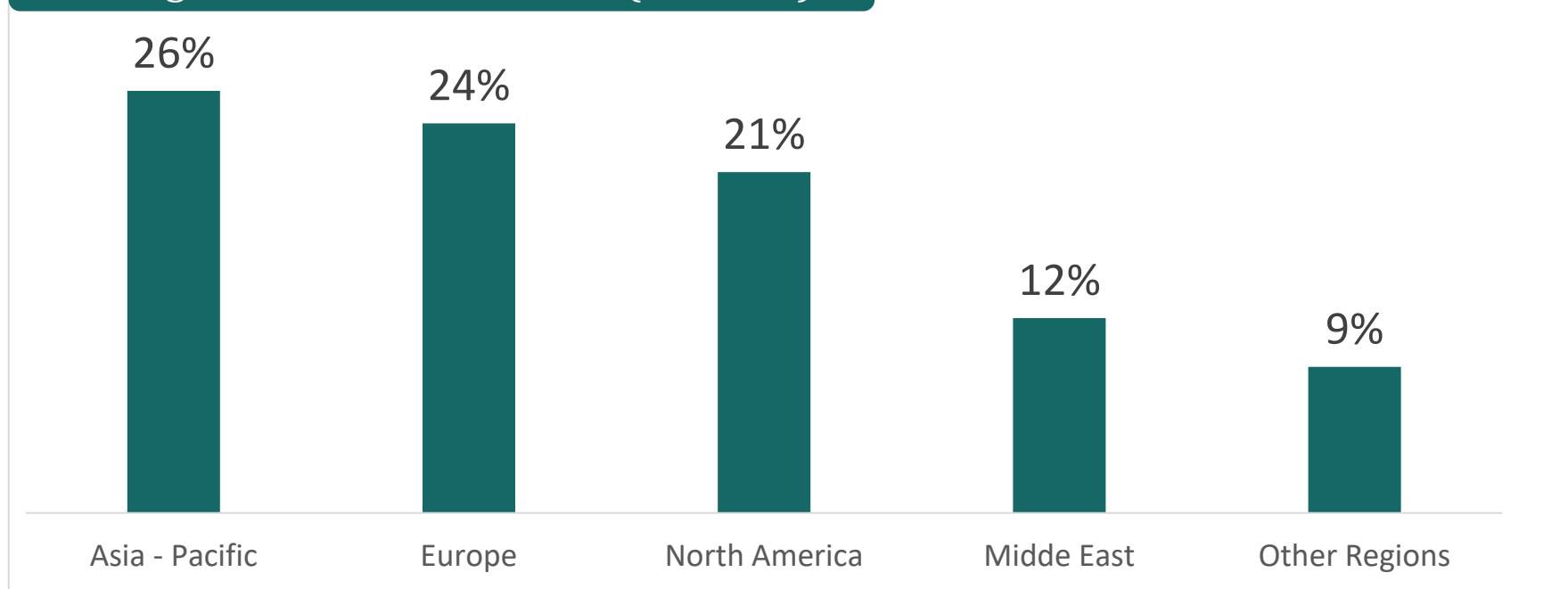
“Global finance is shifting from globalization efficiency toward geopolitical resilience.”



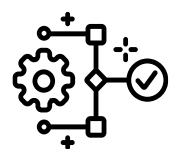
# Asia-Pacific Emerges as the New Financial Growth Engine

Global financial leaders are increasingly shifting focus to Asia-Pacific, which is now seen as the most attractive region for growth and investment.

## Best Region For Financial Sector ( Growth )



## How Financial Institutions Are Adapting



Expanding regional operations across APAC



Increasing allocation to infrastructure and real assets

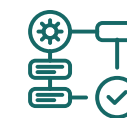


Investing in digital banking, payments and platforms



Targeting high-growth sectors: Wealth management, Trade finance, Green finance

## Why Capital Is Moving East



### Relative Geopolitical Stability

Lower conflict intensity and more predictable policy environments.



### Digital Finance Acceleration

Rapid adoption of: Digital banking, Payment's infrastructure, Wealth-tech platforms



### Vibrant Fintech Ecosystems

Strong innovation pipelines and supportive regulatory sandboxes.



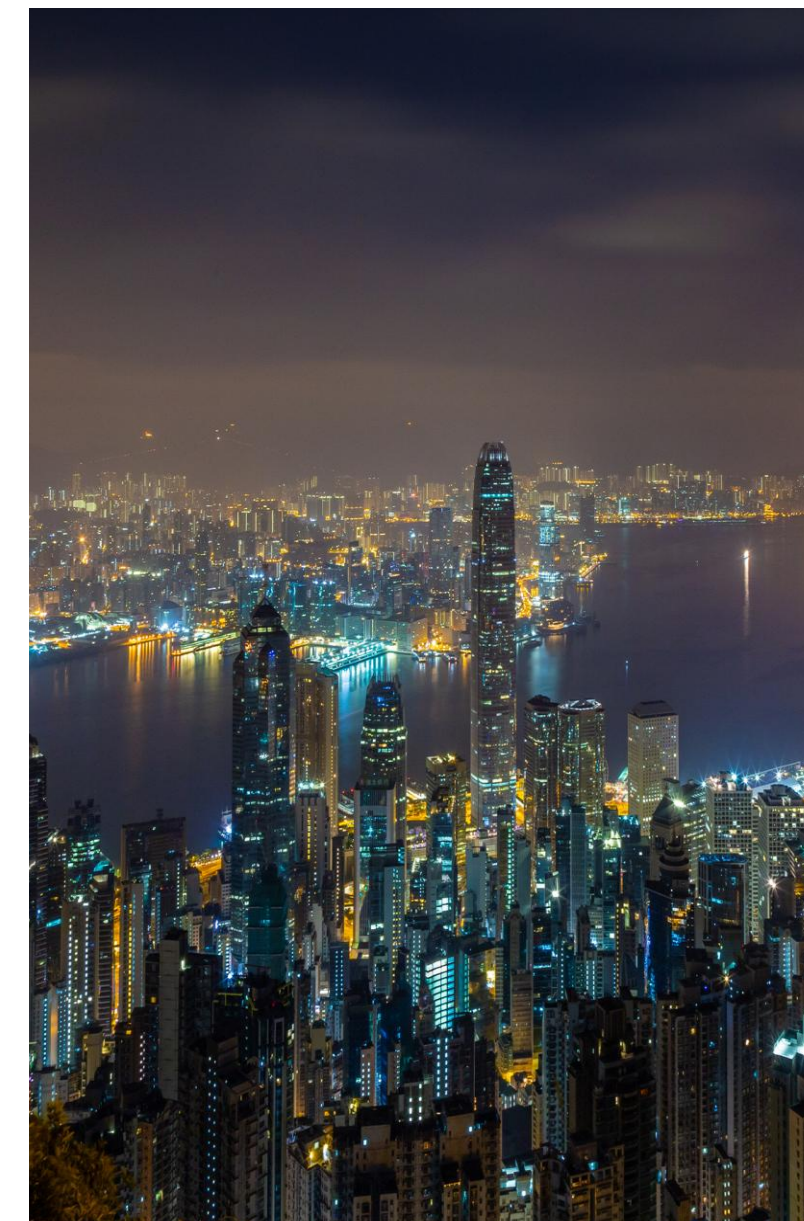
### Long-Term Infrastructure Investment

Massive public and private investment into: Infrastructure, Connectivity, Smart financial ecosystems



### Stronger Regional Integration

Expanding intra-Asia trade and financial market linkages.



“In a more fragmented world, growth will flow to regions that offer stability, scale, and future-ready financial ecosystems.”

## Key Take Away

Asia-Pacific is no longer an alternative growth story it is becoming the center of gravity in global finance.

4.8B+ Population  
(~60% of the world)

~4.5%  
Projected GDP growth  
(APAC avg. 2025–2026)

Rising share of  
global trade & capital  
flows into Asia

Deepening financial  
market sophistication  
across the region



# AI, Regulation & Financial Power: The Next Competitive Battlefield

Financial leadership is increasingly defined by the ability to combine AI innovation, cyber resilience and regulatory adaptability in a fragmented geopolitical environment.

## At a Glance 2025 Key Findings

**100%**

of firms are using AI in their operations

**62%**

identify digitalization as the biggest business opportunity

**58%**

cite AI adoption as a major growth driver

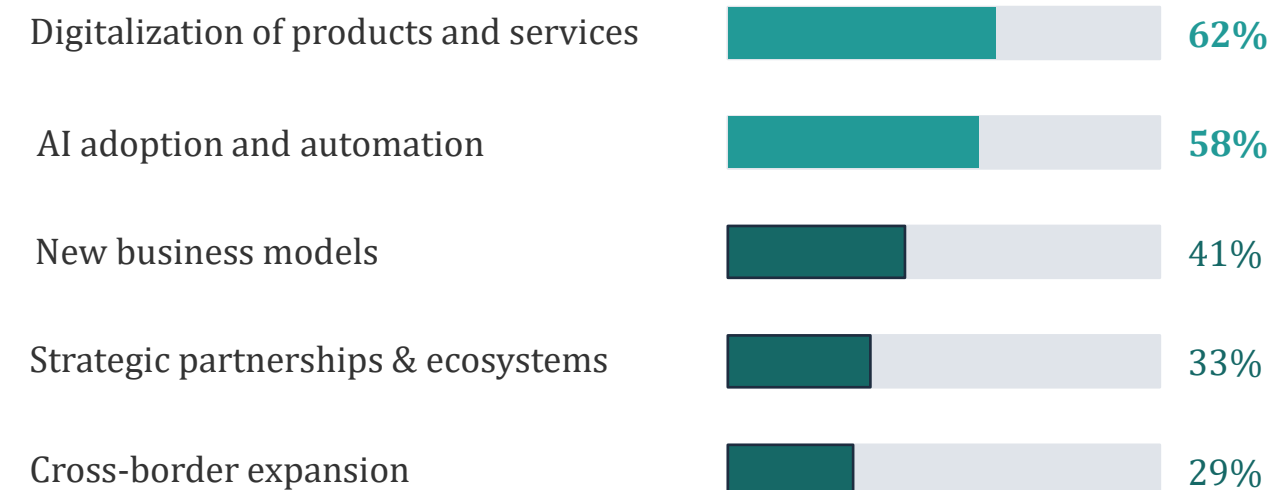
**62%**

rank cybersecurity and financial crime risks as the biggest challenge

**44%**

say managing compliance is a top priority up from 19% in 2024

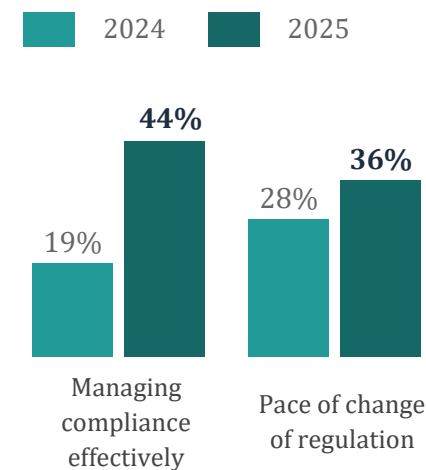
## Where the biggest opportunity Lie



% of respondents selecting each as a top opportunity

## REGULATION: SHIFTING FROM GETTING TO STAYING COMPLIANT

### TOP REGULATORY CONCERNS



### REGULATORY FOCUS AREAS

Data privacy & protection

Cross-border regulatory fragmentation

Capital & liquidity requirements

Conduct, consumer protection & market integrity

Sanctions, AML & financial crime compliance

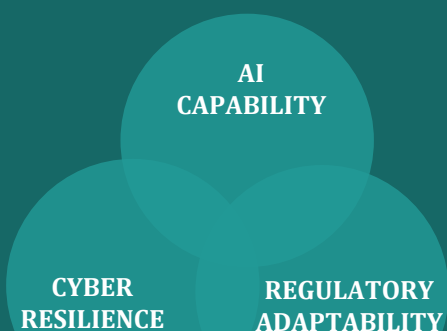
### CYBER & FINANCIAL CRIME RISKS ARE INTENSIFYING

**62%**

of respondents list cybersecurity & financial crime as their biggest business challenge over the next 1–2 years.

### THE STRATEGIC IMPERATIVE

Sustainable competitive advantage now depends on mastering **all three simultaneously**.



Institutions that integrate AI, cybersecurity and regulatory agility will be best positioned to lead in the new era of geopolitical finance.

## THE ROAD AHEAD: BUILDING FINANCIAL POWER IN A FRACTURED WORLD



### Invest in data & AI infrastructure

Strong data foundations power smarter decisions and scalable AI.



### Strengthen cyber defenses

Proactive resilience is essential as threats become more sophisticated.



### Navigate regulatory complexity

Build adaptive compliance frameworks to manage fragmentation and regulatory change.



### Build ecosystem partnerships

Collaborate across industries and borders to co-create value and innovate.



### Align risk with strategic growth

Embed geopolitics into risk management and capital allocation decisions.



# About Us.

In a world where financial advice is often templated, delayed, and handed off to juniors YD Advisory does things differently.

We are a boutique transaction and strategic advisory firm built for founders, investors, and family offices who need more than a polished deck. We get into the weeds, challenge assumptions, and stay with you from the first valuation call to the final deal close.

Whether you're raising capital, structuring an acquisition, navigating a complex valuation, or need an on-demand CFO in your corner, we bring institutional-grade expertise without the overhead, red tape, or one-size-fits-all approach.

**50+ mandates. \$100M+ in capital advised. 15+ sectors. 10+ geographies.**

We don't just deliver numbers, we help you understand them, defend them, and use them to move forward with confidence.

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